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1. According to Ethiopian tax laws which one of the following is not deductible expense from business income for tax purpose?

- A. Premium payable on insurance directly connected with the business activity
- B. Interest expense, if the lending institution is recognized by National Bank of Ethiopia
- C. Losses recoverable by insurance companies
- D. Donations paid to Mekedonia

ANSWER: C

2. Which one of the following income item is not directly exempted from employment income tax by the income tax laws in force in Ethiopia?

- A. Income from casual employment
- B. Remuneration paid to Diplomatic Personnel of Foreign Countries
- C. Compensation for accident or death
- D. Contribution of retirement benefits by employers exceeding 15% of monthly basic salary of employees

ANSWER: D

3. Which one of the following is false about Public finance & private finance?

- A. The motive of public finance is to collective satisfaction of the society whereas motive of private finance is individual satisfaction
- B. Government adjusts his income towards budgeted expenditure whereas business firms adjust their expenditure towards income
- C. Public finance & private finance has equal and limited source
- D. Public finance is spent by the government on indivisible goods where as private finance are spent on divisible goods

ANSWER: C

4. One of the following is not true about tax avoidance?

- A. It is a legal activity of tax payers to reduce taxable income
- B. It is the act of using tax law opportunities or loopholes in tax
- C. It has no negative effect on income inequality
- D. It creates greater burden on honest payers

ANSWER: C

5. Which of the following is a characteristic of managerial accounting, Except?

- A. Need not follow IFRS
- B. Reports to those inside the organization
- C. Emphasizes decisions affecting the future
- D. Mandatory for external reports

ANSWER: D

6. Manufacturing costs typically consist of?

- A. direct materials, direct labor, and administrative costs
- B. direct materials, direct labor, selling and administrative costs
- C. direct materials, direct labor, and manufacturing overhead
- D. production and selling costs

ANSWER: C

7. Over - applied overhead means that?

- A. the applied overhead cost was greater than the actual overhead cost
- B. the applied overhead cost was less than the actual overhead cost
- C. the estimated overhead cost was less than the applied overhead cost
- D. the estimated overhead cost was less than the actual overhead cost

ANSWER: A

8. In a process costing system, the journal entry used to record the transfer of costs from Department A, a processing department, to Department B, the next processing department, includes a debit to?

- A. Finished Goods and a credit to Work in Process - Department B
- B. Work in Process - Department A and a credit to Work in Process - Department B
- C. Work in Process - Department B and a credit to Work in Process - Department A
- D. Work in Process - Department B and a credit to Materials

ANSWER: C

9. The production costs to produce one unit of finished goods were ETB 45. Direct materials were $\frac{1}{3}$ of the total cost, and direct labor was 40% of the combined total of direct labor and direct materials; The cost for direct materials, direct labor, and manufacturing overhead was?

- A. ETB 15, ETB 16, and ETB 14, respectively
- B. ETB 15, ETB 10, and ETB 20, respectively
- C. ETB 15, ETB 18, and ETB 12, respectively
- D. ETB 15, ETB 12, and ETB 18, respectively

ANSWER: B

10. A joint process that costs ETB 6,000 results in two products; 100 units of wallets and 50 units of belts. Using the physical measure basis, the allocated cost per unit is?

A.Wallet: ETB 20, Belt: ETB 20

B.Wallet: ETB 40, Belt: ETB 60

C.Wallet: ETB 80, Belt: ETB 80

D.Wallet: ETB 40, Belt: ETB 40

ANSWER:D

11. In a business combination accounted for as a purchase, direct out-of-pocket costs such as legal fees and finder's fees are?

A.Expensed in the period incurred.

B.Capitalized as part of the cost of the acquisition (the investment).

C.Recorded as a reduction of Additional Paid-in Capital.

D.Amortized over a period of 5 years.

ANSWER:B

12. If the fair value of the net identifiable assets acquired in a business combination exceeds the total consideration transferred, the resulting "bargain purchase" is?

A.Recognized as negative goodwill and amortized into income.

B.Prorated to reduce the assigned values of non-current assets, with any remaining excess recognized as a gain

C.Held as a deferred credit on the balance sheet

D.Allocated to reduce the values of current assets to zero first

ANSWER:B

13.Which one of the following accounts would not appear on the consolidated financial statements at the end of the first fiscal period of the combination?

A.Investment in Subsidiary

B.Common Stock- Parent

C.Additional Paid-In Capital - Parent

D.Retained earnings - Parent

ANSWER:A

14.Which of the following is correct about the consolidated financial position for the parent and subsidiaries on the date of business combination under purchase type business combination?

A.The assets and liabilities of the parent and subsidiary are eliminated from the consolidated financial position

- B.The parent company investment account appears on the consolidated financial position
- C.Intercompany payables and receivables do not appear on the consolidated financial position
- D.Intercompany profit and loss will appear on the consolidated financial position

ANSWER:C

15.Which of the following is not true about foreign currency transactions?

- A.Exposure to foreign currency exchange rate changes will occur if the transaction is denominated in a foreign currency and payment is made after some time.
- B.The exporter is exposed to the risk that the foreign currency might depreciate in the future, if sales are made on credit
- C.The importer is exposed to the risk that the foreign currency might appreciate in the future, if purchase is made on credit
- D.The importer is exposed to the risk that the foreign currency might depreciate in the future, if purchase is made on cash

ANSWER:D

16.A Foreign currency contracts which gives the holder of the option the right but not the obligation to trade (buy or sell) foreign currency in the future is?

- A.Forward contracts
- B.Option contracts
- C.Forward rate
- D.Spot rate

ANSWER:B

17.Which of the following statement is NOT true about joint ventures?

- A.Parties with joint control have the rights to assets & obligation for liabilities
- B.Parties with joint control have the right to net asset of the arrangements
- C.The assets and liabilities held in the separate vehicle are the assets and liabilities of the separate vehicle not the assets and liabilities of the parties
- D.Separate entity will be established to conduct joint activities

ANSWER:A

18.Investment in joint venture will be increased by all of the following except?

- A.Additional investments made by the investor
- B.Investor's share of the investee's profit
- C.Dividends received from the investee
- D.Will not be changed

ANSWER:C

19.If the home office of XYZ Co. maintains the accounting records of the plant assets of its branch and that branch acquired equipment for \$10,000 cash, the appropriate journal entry for the branch will be?

- A.Debit the Home Office ledger account and credit a plant asset account for \$10,000
- B.Debit the Home Office account and credit Cash for \$10,000
- C.Debit a plant asset account and credit the Home Office account for \$10,000
- D.Debit Cash and credit the Home Office account for \$10,000

ANSWER:B

20.All of the followings are true about sale agencies except?

- A.Sale agencies conduct merchandise selection, advertising, granting of credit, collection of accounts receivable, and other aspects of operating the business
- B.The agency may display and demonstrate sample merchandise, take orders, and arrange for delivery
- C.Sales agency usually does not stock inventory
- D.Sales agency does not have its own accounting entity

ANSWER:A

21.Which of the following is not the reason for business combination?

- A.Achieving growth
- B.Cost savings through elimination of duplicate facilities
- C.Quick entry for new and existing products into domestic and foreign markets
- D.To increase risk

ANSWER:D

22.On January 31, 2018, AA Corporation pays Br 700,000 cash and issues 100,000 shares of Br. 20 par common stock with a market value of Br 30 per share for the acquisition of net assets of BB Company. The amount of AA corporation's investment in net assets in BB Company will be?

- A.Br.2,700,000
- B.Br.3,700,000
- C.Br.3,000,000
- D.Br.700,000

ANSWER:B

23.Your firm has recently been appointed auditor of National Cement, a large company with manufacturing and distribution of cement.The planning is due to commence shortly. It has been agreed with the client that an interim and final audit will be performed. Which of the following is NOT a benefit of planning the audit?

- A.It ensures the audit is performed efficiently and effectively.
- B.It helps identify the resources to be allocated.
- C.It ensures the financial statements will be correct.
- D.It minimizes the risk of issuing an inappropriate audit opinion.

ANSWER:C

24.You have been asked to conduct a training workshop for your firm's new trainees which will cover the rules and regulations surrounding the auditing profession, You have prepared a short test for the trainees to take at the end of the workshop to assess whether they have understood the content covered, which of the following statements is False?

- A.Auditing standards are laws which must be followed during all audits.
- B.Auditing standards should be followed during all audits unless there are exceptional circumstances which would mean the audit objective would not be met.
- C.Auditing standards are professional regulations.
- D.Auditing standards may be different in different countries even those using international standard of audit.

ANSWER:A

25.it is 1 July 20X5. You are currently performing subsequent events procedures for the audit of Kookynie Co. From a review of the board minutes you identify that a customer is suing the company for an injury they suffered on the client's premises on 5 April 20X5. The client's year end is 31 March 20X5. The directors are proposing to amend the financial statements to include a provision for the amount of compensation they expect to have to pay to the customer. Legal advice received indicates that the claim is possible to succeed. Which of the following statements is True with regard to subsequent events?

- A.The auditor must perform audit procedures to identify events occurring after the date of the financial statements up to the date the auditor's report is signed that could have an effect on the financial statements
- B.The auditor does not need to consider any events which occur after the date of the financial statements as it is outside of the reporting period
- C.The auditor has no responsibility after the auditor's report has been signed, even if they become aware of events occurring which means the opinion is now incorrect
- D.The auditor only needs to consider subsequent events communicated to them by the directors

ANSWER:A

26. Which of the following statements is FALSE?

- A.The auditor will express an opinion as to whether the financial statements give a true and fair view
- B.The auditor must obtain sufficient and appropriate evidence to be able to form an audit opinion
- C.If the financial statements are found to contain material misstatements a Qualified audit opinion will

be given.

D.An audit may not detect all fraud and error in the financial statements.

ANSWER:C

27. You are the audit manager responsible for the audit of Broome Co, a listed company. You have been informed by one of the audit juniors that the finance director has offered to take the audit team to a World Cup Final at the expense of the client as a thank you for an efficient audit. The finance director has requested that you attend a social event where the company will outline a new rights issue of ordinary shares to shareholders. The finance director believes that the presence of the external auditor will add credibility to the rights issue and increase the chance of raising the required finance. Which of the following is NOT a threat to objectivity?

A.Independence

B.Self-review

C.Advocacy

D.Intimidation

ANSWER:A

28.Which of the following describes the wording of a disclaimer of opinion?

A.The financial statements give a true and fair view

B.The financial statements do not give a true and fair view

C.The auditor does not express an opinion on the financial statements.

D.Except for the matter described, the financial statements give a true and fair view

ANSWER:C

29. A cost flow assumptions that provide the same result of ending inventory in both periodic and perpetual inventory system is?

A.First in first out

B.Last in first out

C.Average method

D.Specific identification

ANSWER:A

30.The cost of a machine is ETB 50,000, residual value is ETB 5,000 and the estimated useful life is 5 years; what is the depreciation expense at the end of 2nd year under declining balance method?

A.ETB 9,0.00

B.ETB 30,000

C.ETB 12,000

D.ETB 12,800

ANSWER:C

31. Depreciation refers to?

- A. The process of allocating cost plant assets to expense over its estimated useful life
- B. The process of allocating cost of natural resource to their estimated useful life
- C. The decrease in the value of property plant and equipment
- D. It is the accumulation of cash for replacement of property plant and equipment

ANSWER:A

32. A company's own share that has issued and reacquired from shareholders is called?

- A. Ordinary shares
- B. Treasury shares
- C. Authorized shares
- D. Issued shares

ANSWER:B

33. Which one is not the characteristics of corporation?

- A. Transferable equity
- B. Unlimited liability
- C. Double taxation
- D. Continuous life

ANSWER:B

34. The capital accounts of A & B have balances of birr 120,000 and birr 100,000 respectively. C & D are to be admitted to the partnership. C buys one-fifth of A's interest for birr 30,000 and one-fourth of B's interest for birr 20,000. D contributes birr 50,000 cash to the partnership, for which she is to receive an ownership equity of birr 50,000. What are the capital balances of each partner after the admission of the partners respectively?

- A. Birr 90,000, birr 80,000, birr 49,000, and birr 50,000
- B. Birr 96,000, birr 75,000, birr 49,000, and birr 50,000
- C. Birr 96,000, birr 75,000, birr 50,000, and birr 50,000
- D. Birr 90,000, birr 80,000, birr 50,000, and birr 50,000

ANSWER:B

35. Tracey and Hepburn invest \$100,000 and \$50,000, respectively, in a partnership and agree to a division of net income that provides for an allowance of interest at 10% on original investments, salary allowances of \$12,000 and \$24,000, respectively, with the remainder divided equally. What would be Tracey's share of a net income of \$45,000?

A.\$22,500

B.\$19,000

C.\$22,000

D.\$10,000

ANSWER:B

36.Which one is correct about accounting for public enterprise?

A.Public enterprise uses double entry accounting system

B.The accounting equation is applicable for public enterprise

C.The valuation and classification of assets different from business enterprise

D.Public enterprises are owned and managed by individual person

ANSWER:A

37. Based on situation analysis, a firm decides to use long term debt to finance permanent working capital and short term liability to finance temporary working capital. which financing policy is this?

A.Maturity matching

B.Conservative

C.Aggressive

D.Short-term financing

ANSWER:A

38.Which of the following is not correct about working capital policy and its result on firms' status?

A.When a firm is certain about its future cash flow margin of safety reserved should high

B.When a firm uses conservative financing policy interest cost is high

C.When a firm uses aggressive financing policy level of riskiness is high

D.When a firms' ability to get short term borrowing high, safety stock reserved should be low

ANSWER:A

39. Which of the following statements argue about irrelevance of dividend policy?

A.Tax on capital gain is smaller than tax on dividend income

B.Share price of dividend paying company is higher than that of non dividend paying company

C.Firms with higher investment opportunities pays lower dividend than firm with no profitable investment opportunity

D. The future financial prospect of dividend paying company is better than other as per investors perception

ANSWER:C

40.The indifference point between equity and debt financing is Br, 100,000 and the actual EBIT is Br, 1,200,000. Which financing alternative is appropriate to use?

- A.Common equity
- B.Preferred stock
- C.Debt
- D.Retained earning

ANSWER:C

41.Working capital management implies?

- A.Determining level of working capital that maximizes firm value
- B.Maintaining higher level of working capital (cash, inventory and debtors balance)
- C.Avoiding risky investments
- D.Searching long term source fund to financing investment of current asset

ANSWER:A

42.Contribution Margin Per unit is calculated as?

- A.Selling price - Fixed cost per unit.
- B.Selling price - Variable cost per unit.
- C.Total Revenue - Total variable cost.
- D.Total Revenue - Total Fixed cost.

ANSWER:B

43.When computing standard cost variances, the difference between actual and standard quantity multiplied by standard price a(n)?

- A.Both price and quantity variance.
- B.Material Efficiency variance.
- C.Material Price variance.
- D.Material Quantity variance.

ANSWER:D

44.If the static budget revenue is 620,000 and the flexible budget revenue amount is 935,000, then the sales volume variance will be?

- A.215,000F
- B.315,000F
- C.215,000U
- D.315,000U

ANSWER:B

45.In a make-or-buy decision, relevant costs include the following Except?

- A.unavoidable fixed costs
- B.avoidable fixed costs
- C.Variable factory overhead costs applied to products
- D.Variable selling and administrative expenses

ANSWER:B

46.The following information relates to next year's projected operating results of the Aluminium: Division of Dire Corporation; Contribution margin \$1,800,000, Fixed expenses 2,000,000, Net operating loss \$ (200,000): If Aluminium Division is dropped, \$1,000,000 of the above fixed costs would be eliminated. What will be the effect on Dire's profit next year if Aluminium Division is dropped instead of being kept?

- A.\$500,000 decrease
- B.\$800,000 decrease
- C.\$800,000 increase
- D.\$500,000 increase

ANSWER:B

47.Kezira Manufacturing Company is estimating the following raw material purchases for the last four months of the year: September \$850,000, October \$900,000, November \$810,000, December \$780,000: At Kezira, 25% of raw materials purchases are normally paid for in the month of purchase. The remaining 75% is paid for in the month following the purchase. How much cash should Kezira expect to pay out for raw material purchases during the month of November?

- A.\$202,500
- B.\$832,500
- C.\$862,500
- D.\$877,500

ANSWER:D

48.Yene Company purchased land containing an estimated 1,000,000 tons of ore for a cost of Birr 10,500,000, The land without the ore is estimated to be worth Bir 500,000; During its first year of operation, the company mined and sold 300,000 tons of ore; What is the amount of depletion expense that Yene Company should record for the year?

- A.Birr 7,000,000
- B.Birr 3,150,000
- C.Birr 10,000,000
- D.Birr 3.000.000

ANSWER:D

49. According to the IASB Framework, the two criteria required for incorporating items into the income statement or statement of financial position are that?

- A. It satisfies the criteria of capital maintenance.
- B. It meets the requirements of comparability and consistency.
- C. It meets the definition of an element and can be measured reliably.
- D. It meets the definition of relevance and faithful representation.

ANSWER:C

50 On January 2, 2023, Triple Inc. purchased equipment with a cost of Birr 10,440,000, a useful life of 10 years and no salvage value. The Company uses straight-line depreciation. At December 31, 2023 and December 31, 2024, the company determines that impairment indicators are present. The following information is available for impairment testing at each year end, 12/31/2023 FV less cost to sale 9,315,000, Value in use 9,350,000 and 12/31/2024 FV less cost to sale 8,350,000, Value in use 8,315,000; there is no change in the asset's useful life or salvage value; The 2024 profit or loss statement will report?

- A. Recovery of impairment Loss of Birr 3,889
- B. Impairment loss of Birr 10,000
- C. Recovery of impairment Loss of Birr 38,889.
- D. Impairment Loss of Birr 1,000,000

ANSWER:C

51. An approach, plant assets whose fair value can be measured reliably are carried after acquisition at their fair value less any subsequent accumulated depreciation and any subsequent impairment losses, this measurement method is?

- A. Fair value model
- B. Revaluation model
- C. Cost model
- D. Carrying amount

ANSWER:B

52. Sweet Company's unadjusted trial balance includes Accounts Receivable of Birr 647,000. Also, the year-end balance of allowance for doubtful account based on an aging schedule of accounts receivable shows Birr 115,950. What amount of bad debt expense should Sweet Company report for the year. assuming that the allowance account had a debit balance of Birr 15,800 before adjustment?

- A. Birr 115,950
- B. Birr 134,750
- C. Zero

D.Birr 100,150

ANSWER:B

53. Identify the correct statement from the given alternatives?

A.Fair value refers to the price that would be received to buy an asset.

B.Fair value refers to the price that would be paid to transfer an asset.

C.Fair value refers to the price that would be received to sell an asset.

D.Fair value refers to the price that would be paid to buy an asset.

ANSWER:C

54 Which of the following indicates when goods are purchased for resale by a retail company under a perpetual inventory system?

A.Purchases on account are debited to Inventory.

B.Purchases on account are debited to Purchases.

C.Freight costs are debited to Freight-Out

D.Purchases returns are debited to Purchase Returns and Allowances

ANSWER:A

55. What does a gain on disposal of equipment indicate?

A.The disposal value of the equipment at the disposal date is lower than its book value.

B.The disposal value of the equipment at the disposal date is higher than its book value

C.The disposal value of the equipment at the disposal date approximates its book value

D.The disposal value of the equipment at the disposal date is equal to its book value

ANSWER:A

56.A population contains 10,000 sales invoices. The auditor wants a confidence level of 90%, TER = 6%, EPER = 2% and Which change will MOST likely increase the sample size?

A.Decrease TER

B.Decrease EPER

C.Decrease confidence level

D.Keep TER constant

ANSWER:A

57.Which of the following BEST explains the difference between tests of controls and substantive procedures in auditing the acquisition and warehouse cycles?

A.Tests of controls focus on the effectiveness of internal procedures, while substantive procedures aim to detect misstatements in financial statements.

B. Tests of controls involve physical verification of inventory, while substantive procedures involve matching invoices with purchase orders.

C. Tests of controls are only performed at the end of the year, while substantive procedures are done throughout the year.

D. Tests of controls focus on cut-off procedures, while substantive procedures only review vendor approvals.

ANSWER:A

58. Which of the following is most important internal control in the sales and collection cycle?

A. Periodic payroll reconciliation

B. Segregation of duties between credit approval, shipping, and cash handling

C. Sequential numbering of purchase orders

D. Physical safeguarding of inventory only

ANSWER:B

59. Which of the following combinations correctly matches the type of sample selection method with its description?

A. Haphazard selection -> each population item has a known probability of selection; avoids bias using random numbers.

B. Systematic selection -> auditor selects items most likely to contain misstatements based on judgment.

C. PPS (Probability Proportionate to Size) -> emphasizes selection of large-dollar items; evaluated using MUS.

D. Block selection -> sample units are selected randomly from separate strata based on size and characteristics.

ANSWER:C

60. Which of the following MOST correctly states the overall objective of auditing accounts receivable and sales?

A. To verify that receivables have been fully collected before the financial statements are issued.

B. To determine whether receivables and revenue are fairly presented, including existence, completeness, valuation, rights, cutoff, and proper disclosure.

C. To test only the internal control system over revenue because substantive procedures are rarely needed.

D. To ensure that all receivables consist only of trade receivables arising from credit sales.

ANSWER:B

61. Which statement BEST summarizes the audit approach for the acquisition and warehouse cycle?

A. Auditors only need to observe inventory counts because internal controls are assumed effective.

- B.Auditors combine tests of controls (approval of purchases, segregation of duties) with substantive procedures (confirming payables,) to ensure completeness, existence, valuation, and rights.
- C.Auditors rely solely on analytical procedures, comparing purchase trends with prior periods.
- D.Auditors focus only on accounts payable confirmations because inventory does not affect financial statements.

ANSWER:B

62.Which of the following is not a cause of a difference between accounting income and taxable income in a given period?

- A.Operating Loss Carry-Backs
- B.Permanent Differences
- C.Applicable Tax Rates
- D.Temporary Difference

ANSWER:C

63.A type of share-based payment transaction, in which goods or services acquired and the corresponding liability incurred recognized is called?

- A.Cash-settled transactions
- B.Equity-settled transactions
- C.Both Cash-settled and Equity-settled transactions
- D.Compound instrument

ANSWER:A

64.How are biological assets measured initially under IAS 41 (Accounting for Agriculture)?

- A.Historical cost
- B.Fair value less cost to sell
- C.Lower-of-cost-or-net realizable value
- D.Estimated selling price

ANSWER:B

65.IFRS 17, Insurance contract is not applied to

- A. Insurance contract issued by an entity
- B. Re-insurance contract issued by an entity
- C. Re-insurance contract held by an entity
- D. Contract that does not transfer significant insurance risk

ANSWER:D

66. Suppose a project with life of five years and initial investment cost of Br 80,000 is expected to generate a cash flow of Br 15,000, Br 20,000, Br 25,000, Br 30,000 and Birr 20,000 for year 1 up to years 5 respectively. If the cost of capital is given to be 10%, what is the NPV of the project and decision respectively?

- A. (Br 1800.05) and reject the project
- B. Br 2005 and Accept the project
- C. (Br 3,417.35) and reject the project
- D. Br 1, 856.97 and Accept the project

ANSWER:D

67. Fantastic Company has total current asset of birr 300,000, current ratio of 3 times and inventories of birr 60,000. What will be Acid test ratio of the company?

- A. 2 times
- B. 1.83 times
- C. 2.65 times
- D. 2.4 times

ANSWER:D

68. If you need to have a balance of Birr 80,000 nine years from now; how much should you deposited today in an account paying 8% per year compounded quarterly?

- A. ETB 3,921
- B. ETB 8,000
- C. ETB 39,218
- D. ETB 6,400

ANSWER:C

69. The only viable goal of financial management is?

- A. Profit maximization
- B. Sales maximization
- C. Wealth maximization
- D. Assets maximization

ANSWER:C

70. The most recent common stock dividend of Shalla Manufacturing Corporation was Br. 6.50 per share. Due to the firm's maturity as well as stable sales and earnings, the dividends are expected to remain at the current level of the foreseeable future. What should be the value of Shalla's common stock if investor required return is 10%?

- A. Br6.50

B.Br 600

C.Br 100

D.Br 65

ANSWER:D

71.A primary characteristic that distinguishes a governmental entity from a for-profit corporation is?

A.Its ability to issue debt.

B.Its objective to generate net income for its owners.

C.The absence of a defined set of stakeholders.

D.The receipt of significant resources from providers who do not expect proportional repayment.

ANSWER:D

72.The primary purpose of fund accounting in the public sector is to?

A.Maximize the return on invested capital.

B.Demonstrate compliance with legal and budgetary restrictions on spending.

C.Consolidate all financial activities into a single reporting entity.

D.Calculate the annual profit or loss of the government.

ANSWER:B

73.Which of the following is a key objective of International Public Sector Accounting Standards (IPSAS)?

A.To harmonize tax policies across member countries.

B.To enhance the transparency and accountability of public sector financial reporting globally.

C.To replace national budgeting processes with a standardized international model.

D.To primarily assist for-profit entities in securing government contracts.

ANSWER:B

74.A city government establishes a fund to account for the construction of a new public library. The money for this project comes from a specific bond issue approved by voters. This fund would most likely be classified as a?

A.General Fund

B.Debt Service Fund

C.Capital Projects Fund

D.Internal Service Fund

ANSWER:C

75.The "Debt Service Fund" in governmental accounting is primarily used for?

- A. Recording the proceeds from issuing long-term debt.
- B. Accounting for the construction of long-lived assets.
- C. Accumulating resources for and paying principal and interest on general long-term debt.
- D. Managing the day-to-day operating activities of the government.

ANSWER: C

76. Which of the following is a characteristic of a Proprietary Fund?

- A. It uses the current financial resources measurement focus.
- B. Its operating results are measured by the excess of revenues over expenses.
- C. Its budget is legally mandated and integrated into the accounting records.
- D. It is used to account for resources held by the government as a trustee or agent.

ANSWER: B

77. A local government acts as a custodian for property taxes it collects on behalf of a separate school district; The resources collected and held for the school district should be reported in the local government's?

- A. General Fund
- B. Special Revenue Fund
- C. Fiduciary Fund
- D. Capital Projects Fund

ANSWER: C

78. The General Fund of a municipality is best described as:

- A. A fund used to account for all financial resources except those required to be accounted for in another fund.
- B. A fund used to account for revenues from specific taxes legally restricted for particular purposes.
- C. A fund that operates like a business to provide services to other government departments on a cost-reimbursement basis.
- D. A fund used to account for the payment of principal and interest on long-term debt.

ANSWER: A

79. When comparing the budgeting process of a government to a for-profit business, a key difference is that a government's budget?

- A. Is primarily an internal management tool with no external reporting requirements.
- B. Often has the force of law and serves as an expression of public policy priorities.
- C. Focuses exclusively on capital expenditures and ignores operating costs.
- D. Is designed to maximize shareholder value

ANSWER:B

80.A "Special Revenue Fund" is distinguished from the General Fund because it is used to account for?

- A.The proceeds from the sale of long-term bonds.
- B.Resources those are legally restricted to expenditure for specific purposes.
- C.All taxes collected by the government.
- D.Resources held for other governments as an agent.

ANSWER:B

81.Assume that on Oct1,2025, "ABC" Company issue a 90-day note payable for Birr 240,000 with 10% annual interest. What is the interest expense and note payable balance to be reported as current liability at Dec 31, 2025? Assume 360-day year?

- A.Interest = Birr 4,000; Liability = Birr 240,000
- B.Interest = Birr 6,000; Liability = Birr 246,000
- C.Interest = Birr 6,000; Liability = Birr 240,000
- D.Interest = Birr 4,000; Liability = Birr 244,000

ANSWER:C

82.Assume "XYZ" Company's sales for the year 2025 are Birr 2,000,000 and estimate that warranty expense will be 35 of Sales; Actual warranty cost paid during the year Birr 50,000; What is the closing warranty provision balance?

- A.Birr 10,000
- B.Birr 110,000
- C.Birr 60,000
- D.Birr 20,000

ANSWER:A

83.On January 1, 2025, ABC Co. issued Birr 1,000,000 5-year bonds at 96 (i.e., 96% of par value). The annual coupon rate is 10%, interest paid annually; What are Proceeds received, Annual interest payment and the discount amount to amortize over 5 years?

- A. Proceeds = 960,000; Interest = 100,000; Discount = 40,000
- B. Proceeds = 1,000,000; Interest = 96,000; Discount = 4,000
- C. Proceeds = 960,000; Interest = 50,000; Discount = 40,000
- D. Proceeds = 1,040,000; Interest = 100,000; Discount = (40,000)

ANSWER:A

84.Assume ABC Company signs a 3-year lease for equipment. Annual payments are Birr 200,000, paid end of each year. Discount rate = 8%. What is the Present Value of lease liability at inception?

Assume PV Factor for Each Year are 0.926 ,0.857 and 0.794 Respectively?

- A. Birr 600,000
- B. Birr 200,000
- C. Birr 525,400
- D. Birr 556,400

ANSWER:C

85.Assume a Company has Contract price of Birr 10,000,000, total expected cost Birr 8,000,000, costs incurred to date Birr 4,800,000 and progress billings to client Birr 4,000,000. Calculate revenue and profit to recognize?

- A.5,000,000 and 2,000,000
- B.6,000,000 and 1,200,000
- C.4,500,000 and 2,500,000
- D.3,500,000 and 1,800,000

ANSWER:B

86.Which of the following is treated as a change in accounting estimate, not a prior period error?

- A.Revising the expected useful life of a machine from 10 years to 12 years
- B.Omitting depreciation expense from prior year
- C.Incorrectly recording revenue in prior year
- D.Failing to recognize accrued liabilities in prior year

ANSWER:A

87.what is the primary function of money markets in the financial system?

- A.To provide long-term financing for corporate expansion projects
- B.To facilitate the trading of corporate stocks between investors
- C.To help borrowers meet short-run liquidity needs without costly bank intermediation
- D.To allow governments to raise capital for multi-year infrastructure projects

ANSWER:C

88.Agricultural produce harvested from biological assets should be measured at?

- A.Historical cost
- B.Fair value less costs to sell at the point of harvest
- C.Recoverable amount
- D.Cost of production

ANSWER:B

89. The primary objective of financial accounting is to?

- A. Provide information to internal managers for planning and control.
- B. Record the day-to-day operations of a business.
- C. Provide useful financial information to external decision-makers.
- D. Calculate the amount of tax owed to the government.

ANSWER: C

90. The "rule of double-entry" accounting requires that?

- A. All transactions are recorded in two different journals.
- B. Total debits must equal total credits for every transaction.
- C. Financial statements must be prepared in duplicate
- D. Every transaction affects both an income statement and a balance sheet account.

ANSWER: B

91. A company performs a service for a client on account (on credit). The immediate effect on the accounting equation is a(n)?

- A. Increase in assets and a decrease in liabilities.
- B. Increase in liabilities and an increase in owner's equity.
- C. Decrease in assets and a decrease in owner's equity.
- D. Increase in assets and an increase in owner's equity.

ANSWER: D

92. In a perpetual inventory system for a merchandising business, the cost of goods sold is recorded?

- A. At the time each sale is made.
- B. At the end of the period after a physical inventory count.
- C. Only in the general journal.
- D. As a closing entry.

ANSWER: A

93. A primary advantage of a computerized accounting system over a manual system is?

- A. The complete elimination of all errors.
- B. The requirement for a deeper understanding of accounting principles.
- C. The automatic posting of transactions from journals to ledgers.
- D. The lower initial cost of implementation.

ANSWER: C

94. A company's bank statement shows a balance of \$5,000. There are outstanding checks totaling \$1,200 and a deposit in transit of \$800. The adjusted cash balance is?

- A. \$5,000
- B. \$4,600
- C. \$5,400
- D. \$7,000

ANSWER: B

95. A commercial bank transforms a long-term mortgage (a primary security) into short-term demand deposits (secondary securities). This process best illustrates which core service of financial institutions?

- A. Exchanging financial assets on behalf of customers
- B. Pooling savings of individuals, businesses, and governments
- C. Providing investment advice to market participants
- D. Transforming financial assets into more preferable types

ANSWER: D

96. Which of the following best explains why depository institutions like commercial banks are highly regulated?

- A. They are the only institutions allowed to offer checking accounts.
- B. They manage the portfolios of other market participants.
- C. They mobilize a large volume of household and business deposits and serve as vehicles for monetary policy.
- D. They are the primary issuers of corporate stocks and bonds.

ANSWER: C

97. A central bank is concerned about rapid inflation and decides to use its policy tools to increase interest rates. According to the Liquidity Preference Theory, which of the following actions would be the most direct and effective method for the central bank to achieve this goal in the short run?

- A. Encouraging commercial banks to increase their lending to businesses
- B. Initiating a public campaign to promote household savings
- C. Selling government bonds to contract the nation's money supply
- D. Lowering the reserve requirement for commercial banks

ANSWER: C

98. A corporation is deciding whether to issue bonds to fund a new factory. The project has an expected internal rate of return (IRR) of 8%. If the current interest rate for corporate bonds with a similar risk profile is 6%, what is the most likely outcome according to the classical theory of

investment demand?

- A.The corporation will abandon the project as it is too risky.
- B.The corporation will likely proceed with the project and issue the bonds.
- C.The corporation will wait for interest rates to fall below 5%.
- D.The corporation will seek equity financing instead, as the cost of debt is too high.

ANSWER:B

99.Following a period of economic instability, a country's financial regulators discover that a new type of "off-balance-sheet" investment vehicle is being used by commercial banks to hold high-risk assets. This practice is not explicitly covered by existing capital reserve requirements, allowing the banks to appear healthier than they are. This scenario best exemplifies the motivation for financial innovation known as?

- A.Advances in computer and telecommunication technologies
- B.Increased volatility of interest rates and inflation
- C.Incentives to get around existing regulation
- D.Greater sophistication among professional market participants

ANSWER:C

100.The document that precedes a bond issue, detailing the issuer's financial condition, the purpose of the debt, and the payment schedule, is known as?

- A.A Repurchase Agreement
- B.The Indirect Quotation
- C.The Offer Document or Prospectus
- D.A Derivative Security

ANSWER:C